



The Top 10 Ways Intercompany Transfers Go Wrong

(and the Shareholder Loan Trap that catches nearly everyone)

A field guide for owners of multi-entity businesses

A NOTE BEFORE WE START

This presentation is provided for general educational purposes only and does not constitute tax, legal, or accounting advice for any specific individual or entity. The treatment of intercompany transfers, shareholder loans, and cancellation-of-debt income is highly fact-specific and depends on the particular circumstances of each business — what applies to one company may not apply to another.

Nothing in this deck should be relied upon in place of consultation with a qualified CPA, tax advisor, or attorney regarding your specific situation. Nácar & Ledger is glad to discuss how these issues may apply to your business directly.

WHY THIS LIST EXISTS

An intercompany transfer looks simple the day you make it.
It stops looking simple the day a lender, an auditor, or the IRS asks you to explain it.

Reclassified as income

The IRS treats an undocumented “loan” as a taxable dividend or distribution — after the fact, with penalties and interest attached.

Flagged in diligence

Lenders and buyers see unreconciled intercompany balances as a sign the books can't be trusted — and price that risk into the deal.

Pierced liability shield

Commingled funds between entities are one of the fastest ways to undo the very liability separation those entities were formed to create.



No Written Agreement or Promissory Note

THE MISTAKE

Money moves between entities with a memo line, a text message, or nothing at all — no note, no terms, no signatures.

WHY IT HAPPENS

The entities share an owner, so it “feels” unnecessary. Everyone trusts everyone.

WHAT IT COSTS YOU

Without a note, there’s no legal basis to call it a loan at all — to the IRS, a lender, or a court, it’s just an unexplained transfer.



Missing or Below-Market Interest

THE MISTAKE

An intercompany “loan” charges 0% interest, or an interest rate nobody bothered to benchmark.

WHY IT HAPPENS

Interest feels like paperwork between related entities — money that’s “all in the family” anyway.

WHAT IT COSTS YOU

The IRS can impute interest at the Applicable Federal Rate and tax the difference as phantom income, even though no cash ever changed hands for it.



No Real Repayment Schedule

THE MISTAKE

The “loan” has no maturity date, no payment schedule, and years pass with no principal ever repaid.

WHY IT HAPPENS

It’s easier to let the balance ride than to formalize terms both entities have to follow.

WHAT IT COSTS YOU

A loan with no realistic path to repayment reads as a capital contribution or a distribution in substance — regardless of what the label on the books says.



Commingled Funds, No Per-Entity Ledger

THE MISTAKE

One operating account effectively funds several entities, with no running balance tracked for who owes whom.

WHY IT HAPPENS

It's faster day-to-day, especially when the same person signs every check.

WHAT IT COSTS YOU

By the time someone tries to reconstruct the balances — for a sale, an audit, or a partner dispute — months or years of transactions have to be untangled by hand.



No Documented Business Purpose

THE MISTAKE

There's no record of *why* the transfer happened — which invoice, which shared expense, which funding need.

WHY IT HAPPENS

The purpose was obvious to everyone involved at the time, so nobody wrote it down.

WHAT IT COSTS YOU

“Obvious at the time” doesn't survive three years, a staff turnover, or an examiner who wasn't there — undocumented purpose invites the least favorable interpretation.



No Authorization Trail

THE MISTAKE

There's no board resolution, member consent, or meeting minutes approving the transfer or its terms.

WHY IT HAPPENS

In a closely-held company, formal authorization can feel like theater when it's the same person on both sides of the transaction.

WHAT IT COSTS YOU

Related-party transactions get extra scrutiny precisely because self-dealing is possible — missing authorization removes your best evidence that it wasn't.



Consolidated Financials That Don't Eliminate the Balance

THE MISTAKE

Intercompany receivables and payables sit on both sets of books, inflating consolidated assets, liabilities, or revenue.

WHY IT HAPPENS

Elimination entries are an extra close-cycle step that's easy to skip when reporting isn't consolidated by habit.

WHAT IT COSTS YOU

Lenders, investors, and buyers see overstated financials — and a company that doesn't eliminate intercompany balances raises doubts about everything else in the statements.



Inconsistent Treatment Between Entities

THE MISTAKE

An intercompany transaction isn't just a direct transfer — it's also created when one entity pays an expense on another's behalf. Either way, the same entry belongs on both sets of books.

WHY IT HAPPENS

Most experienced bookkeepers, including those managing a full client book at a CPA firm, already know this. What's missing is proactive advice on shareholder loan best practices — and awareness varies widely from bookkeeper to bookkeeper.

WHAT IT COSTS YOU

Mismatched or missing treatment is one of the fastest things an auditor or examiner finds — and once found, it undermines confidence in every other number.



Undermining the Liability Shield

THE MISTAKE

Funds move freely between entities that were formed specifically to keep each other's liabilities separate — especially common across property-holding LLCs.

WHY IT HAPPENS

Separate entities, same owner, same bank relationship — the money doesn't feel like it's "leaving the family."

WHAT IT COSTS YOU

Courts look at exactly this kind of commingling when deciding whether to pierce the corporate veil — the protection you paid to set up can evaporate when you need it most.

The Shareholder Loan Trap

It starts small: the owner draws cash from the business between paychecks, books it “due from shareholder,” and means to pay it back. Then it happens again. And again — for years — until the balance is large enough that everyone quietly stops mentioning it.

By the time anyone looks closely — a sale, a divorce, an audit, an owner’s death — it isn’t a loan anymore. It’s a number with no note, no interest, and no realistic plan to ever be repaid.

How the Trap Actually Springs

A stale shareholder loan resolves itself one of two ways — and both are expensive.

PATH A

The Balance Gets Forgiven

The company (or the owner) finally writes the balance off rather than dealing with it.

That forgiveness is Cancellation of Debt (COD) income under IRC §108 — taxable to the entity that owed the money, often in a year it can least afford the hit.

PATH B

The IRS Gets There First

An examiner reviews the facts — no note, no interest, no repayments, no realistic capacity to repay — and concludes it was never really a loan.

It gets reclassified as a constructive dividend or compensation — taxable income from the day it was drawn, plus penalties and interest for every year since.

The Fix Is Almost Always the Same

1

Put it in writing

A real promissory note — principal, interest rate, maturity date, signatures.

2

Charge real interest

At or above the Applicable Federal Rate, actually paid or accrued.

3

Set a repayment schedule

And follow it — sporadic, undocumented repayment doesn't count.

4

Document capacity to repay

The math has to be plausible, not just possible on paper.

5

Track it per entity

A running ledger balance, reconciled every close — not a mental tally.

6

Get authorization on record

Board or member approval, in writing, before the money moves.



Untangle It Before Someone Else Does

A clean set of intercompany accounts is one of the highest-leverage things a multi-entity owner can fix — before a lender, a buyer, or the IRS finds it first.

NÁCAR & LEDGER

Financial & Operations Consulting for Providence's Small Businesses

401-617-7926 | nacarledger@outlook.com | divearif.com